DISRUPTION INVESTOR

April 2025

We're approaching the next major inflection point (here's how we'll profit)

Dear Disruption Investors,

Coming into 2025, we were cautious on the market while every major Wall Street firm was bullish.

The S&P 500 had just delivered back-to-back 20%+ years. We laid out the data and told you to expect some volatility.

With the S&P 500 down 5% year to date, caution was the right call.

The best book ever written about being a money manager is titled, "Investing Against the Tide." It's the perfect description of what you must do to be a successful investor. When everyone rushes to one side of the boat, you need the courage to move to the other.

Now, we're approaching another major inflection point. Just as we positioned you ahead of previous market shifts, we're here to help you stay ahead of this one, too.

Mr. Market is playing the *Uno* reverse card

Over three decades' worth of collective investing experience has taught Chris and me that if you pick great businesses profiting from disruptive megatrends… the rest takes care of itself.

I (Stephen) have also learned you must pay attention to the big picture at major turning points.

In this month's issue

Key prices

S&P 500	5,619.57
1-Month (Loss) -5.62%	
Nasdaq	17,392.64
1-Month (Loss) -7.70%	
Russell 2000	2,007.08
1-Month (Loss) -7.21%	
Dollar Index	103.98
1-Month (Loss) -0.01%	
US 10-Year Yield	4.136%

A *RiskHedge* Publication

I'm not naturally a "macro" guy. I'd rather spend my time hunting for the next breakthrough business. When I want to really understand the big picture, I tap into my network of friends who live and breathe this stuff.

All my contacts agree a major inflection point is right around the corner.

The tech-heavy Nasdaq Index recently closed below its 200-day moving average for the first time in almost two years. It's the market equivalent of a check engine light flashing red. As my friend JC Parets of *All Star Charts* says, "Bad things happen below the 200-day."

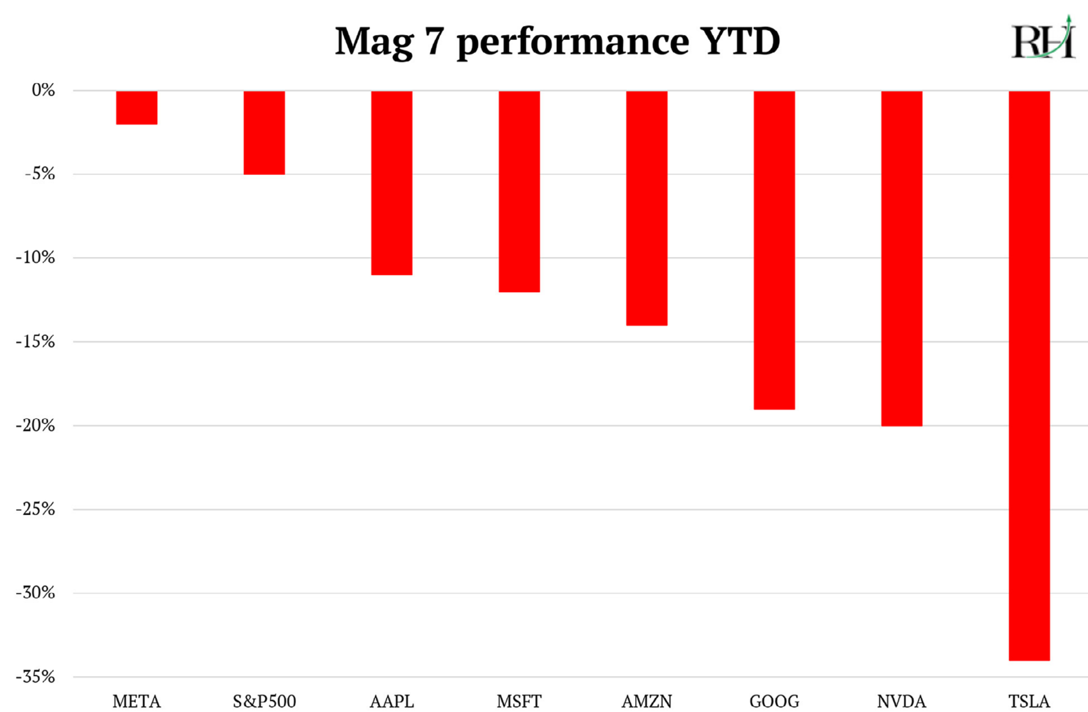
The culprits? America's tech giants.

Since 2008, US stocks have dominated the rest of the world. The S&P 500 outperformed international stocks for 16 consecutive years. That's by far the longest streak ever. And it was deserved!

Apple (AAPL)… **Amazon (AMZN)**… **Alphabet (GOOG)**… **Microsoft (MSFT)**… and **Meta Platforms (META)** grew earnings faster than their international peers.

They led virtually every important innovation of the past decade: smartphones, digital ads, social media, cloud computing, and artificial intelligence (AI). This dominance allowed US stocks to command a valuation premium that stretched to historic levels.

Now, "Mr. Market" is playing the *Uno* reverse card. The trade that worked gloriously for the past 15 years is now turning into the biggest loser. All of the "Magnificent 7" names are down so far this year:



My friend David Cunio—who runs London-based hedge fund Three Body Capital—reminded me, "What matters most in markets is capturing inflection points relatively early."

Our research suggests we're approaching one of those inflection points today. It's the end of American exceptionalism, as we said last month.

The money flowing out of the Mag 7 is searching for new homes. Bull markets don't die; they merely transform from one group of leaders to another. The handover is happening.

That's a huge opportunity for investors who can follow the flows rather than cling to yesterday's winners.

Why this time is different

My good friend Jared Dillian of *The Daily Dirtnap* has a perfect way of explaining investors' behavior:

> If you could make money by pushing a button, how many times are you going to push the button? You're going to push the button over and over and over again until it stops working.

For 15 years, pro money managers kept smashing the "buy big tech" button. It's been career suicide not to own Apple… Amazon… Alphabet… Microsoft… and Meta. Fund managers who tried to be clever by diversifying into small caps or international stocks didn't just underperform, they got fired.

Buy big tech, make money, earn a bonus, repeat. This didn't just apply to US investors, but foreign money managers, too. Roughly $10 trillion worth of foreign capital has poured into US stocks since 2019. Overseas investors now own 60% of all US stocks, up from 33% in 2010.

Push this button for a decade straight, and suddenly everyone's portfolio looks the same: A tech-heavy blob of American mega caps. Why bother diversifying into small caps or foreign stocks when the only thing you'd accomplish is diversifying away your profits?

Piecing together what my network is seeing, this trend is now running in reverse. Thousands of portfolio managers are all trying to rebalance at once, with hundreds of billions—even trillions—to reallocate.

We track 50+ country ETFs. US stocks are the sixth worst performer this year. Many other markets are up 20%+.

For almost as long as we can remember, all the action has been in the big US stocks. Now, the opportunity is shifting toward corners of the market that have been ignored for years.

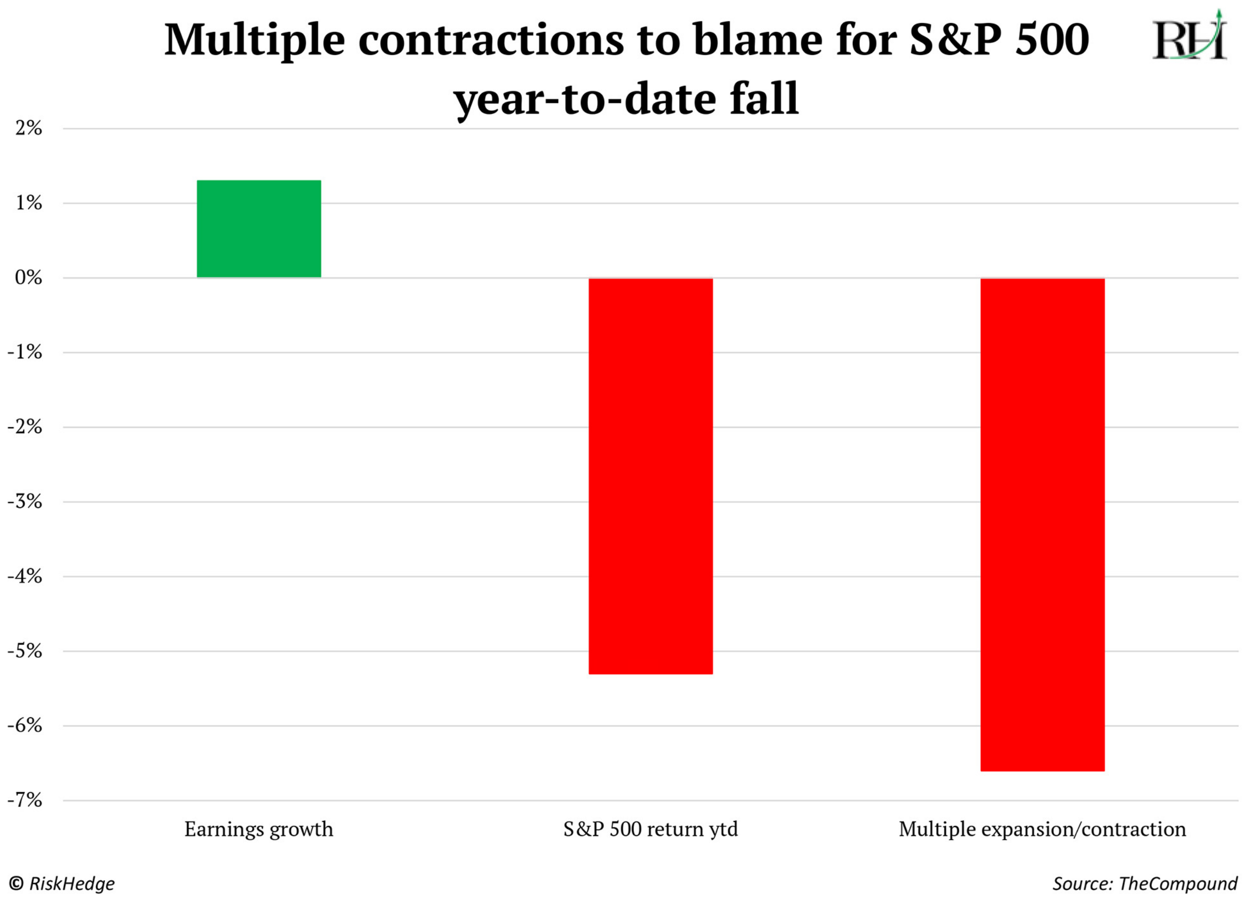
This is when Chris and I earn our keep in your lives. When markets undergo seismic shifts—when yesterday's heroes become tomorrow's laggards—that's when we matter most.

These environments are where our bonds with you are solidified and where we do some of our best work.

The air is escaping

Last month, we said China's tech ascendency—especially the DeepSeek moment—could puncture the valuation premium large US stocks have enjoyed versus the rest of the world.

The whole year-to-date market drop can be explained by one factor: falling valuations.



Valuations are based on the growth and predictability of earnings. Due to several factors, investors aren't willing to pay as much for a dollar of earnings today as they were two months ago. That's why the most popular stocks are "re-rating" lower.

Our research suggests valuations will continue falling. Not because these companies are failing—many will continue to grow earnings at impressive rates. It's that the premium investors are willing to pay for that growth is shrinking. Never forget a great company is not the same thing as a great stock.

The fact big tech dominated for so long is an anomaly.

A study from $60 billion asset manager GMO found:

> Since 1957, the 10 largest stocks in the S&P 500 have underperformed an equal-weighted index of the remaining 490 stocks by 2.4% per year. But the last decade has been a very notable departure from that trend, with the largest 10 outperforming by a massive 4.9% per year, on average.

The corporate world is both a cradle of invention and a graveyard of companies that had fabulous futures in their pasts. Of the 500 companies in the S&P 500 at its inception in 1957, only 53 remain in the index today.

Back then, companies could expect to remain in the index for 61 years. Today, the average tenure is under 20 years.

Disruption is the nature of capitalism. It's what keeps the stock market alive and reaching ever greater heights.

It's important in markets like this to be nimble and stay humble. Many investors know they should diversify away from big tech but can't bring themselves to pull the trigger.

AI cycle update

We were early to the AI boom, and it paid off big time. While the media was still debating if ChatGPT was just a toy, we were already backing up the truck.

We took two "Free Rides" on **Nvidia (NVDA)** and collected 423% gains while booking big wins on **Palantir Technologies (PLTR)** and **Vertiv Holdings (VRT)**, too.

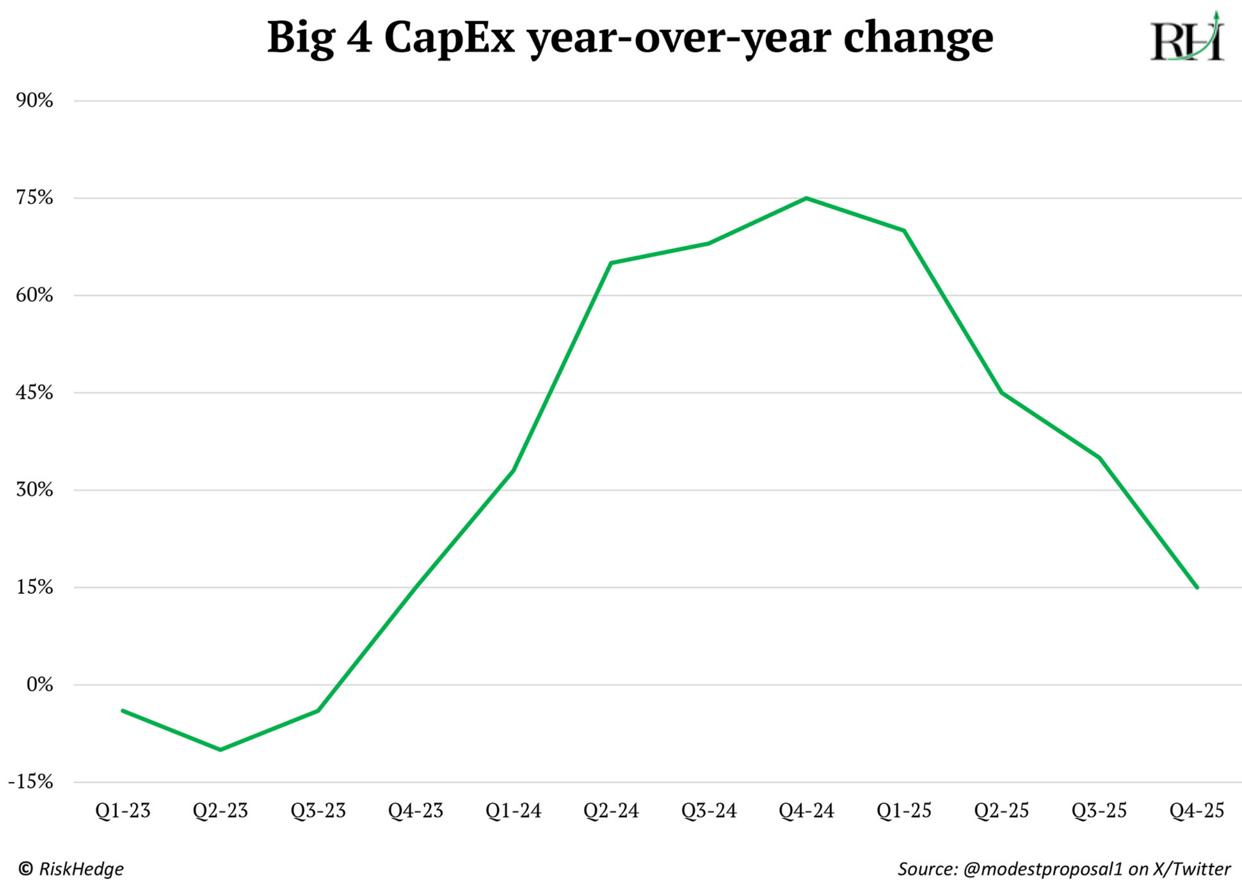
We also still own long-term winners like **Taiwan Semiconductor (TSM)** and **Arista Networks (ANET)**, which are profiting from crucial choke points in the AI buildout.

This is one of those times to be nimble.

AI as a technology is real and transformative. It's the most important innovation of the next decade. Claude and Grok have become indispensable for research and writing. If you aren't using AI yet, do it!

But when it comes to making money in AI stocks, what matters isn't just growth. It's the *rate of change*. AI spending can rise to new records, but if the pace of that increase slows, valuations will fall.

You can see the rate of change is slowing:



These companies can continue to rake in record amounts of cash. But slowing growth means lower valuations, which puts pressure on stock prices.

The double tailwind that supercharged AI stocks—rising earnings *and* expanding valuations—is over. AI infrastructure winners will need to grow earnings faster than valuations contract just to tread water.

Look for a special update in the coming weeks on a deep dive into our AI holdings. The AI revolution continues, but the easy-money phase is behind us.

Another factor that makes me cautious on AI is the "IPO curse." I'm struck by how many times the leading company in a hot sector has gone public and marked "the top:"

- The AOL-Time Warner merger in 2000—still the largest ever—culminated in the dot-com bust.

- The **Blackstone (BX)** IPO in 2007 coincided with the top for financial markets and preceded the Great Recession.

- **Glencore's (GLNCY)** 2011 listing marked the peak in the commodity super-cycle.

Two years ago, I said, "We're at least a year away from a high-profile AI IPO." Well, now we're here. AI data center provider **CoreWeave (CRWV)** recently filed to go public.

I took one look at CoreWeave's financials and shook my head in disgust. If you're worried about Nvidia during an AI spending slowdown, these guys will get absolutely smoked.

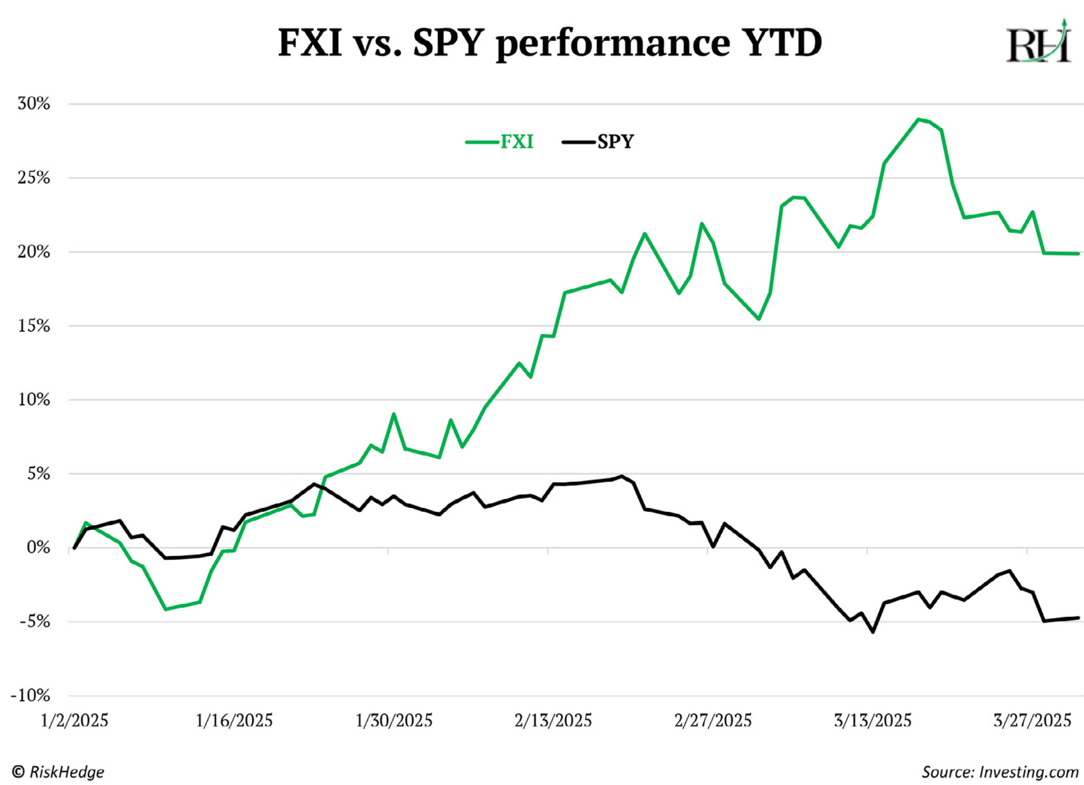
Last week, news broke that CoreWeave had downsized its IPO—trouble before we even get started. This reminds me of the WeWork debacle back in 2019.

It's time to get selective about our AI investments. The important thing for us as investors here is to be nimble. One of the biggest mistakes you can make as an investor is overstaying your welcome in an investment where you made money.

Buy China, seriously

Last month, I sat down with Louis Gave, CEO of Hong Kong money manager Gavekal—which manages over $1 billion. You can read our interview on why now is the time to buy China here.

Chinese stocks are having their best start to a year in four decades. The **iShares China Large-Cap ETF (FXI)**—added to our portfolio last month—has jumped 20% since January, while the S&P 500 is down:



Louis said, “There are two kinds of people in the world: those who have visited China and see the future, and those who do not visit, calling the former Communist Party shills.”

I fall somewhere in the middle. I haven’t visited China, but last week, I grilled two top analysts who’ve spent many years living and investing there. Their insights paint a picture of China that’s wildly different from what you see in the headlines.

Here’s what I learned from Gavekal’s Tilly Zhang and Laila Khawaja about China’s innovation economy…

China is laser focused on innovation.

Most folks think China is still building ghost cities and roads to nowhere. The reality is it’s throwing lots of money into frontier technologies. The Chinese government recently launched a $140 billion venture fund to invest in startups working on robotaxis, quantum computing, robotics, drones, and 6G.

China favors real-world innovation you can get your hands on. The reason its government smashed its tech sector in 2021 was because a bunch of money-losing companies were running around trying to compete for who could deliver a head of cabbage for less.

China is focused on frontier technologies where the “standards” aren’t set yet. Technology is about setting standards. Those who establish them control the long-term agenda. American companies like Apple and Alphabet defined the last wave of tech standards. It allowed them to dominate important innovations like smartphones and web searches.

Rather than following America’s blueprint, China has its playbook for technological dominance. It set the standards in new emerging technologies like electric vehicles (EVs), robotics, and drones.

From last place to first.

China was hopeless at manufacturing traditional gas-powered cars. But with electric vehicles, it’s leaving the world in the dust.

BYD (BYDDY) just debuted a new EV and battery system that adds 249 miles of range in just five minutes. That’s roughly the time it takes to pump gas—and twice as fast as **Tesla’s (TSLA)** superchargers.

Anyone claiming China merely copies Western technology and competes on lower wages needs to wake up. It’s undergoing a technological revolution that rivals what’s happening in Silicon Valley.

10 ft. wall, 11 ft. ladder.

When the US cut Chinese firms off from the global computer chip market in 2018, it was meant to cripple China’s tech ambitions. Smartphone giant Huawei got crushed. But that moment became China’s wake-up call.

Since then, Chinese firms have relentlessly built out their own supply chains so everything they buy is “made in China.” What was intended as punishment has become a competitive advantage.

This self-sufficiency drive creates what I call the “10 ft. wall, 11 ft. ladder” effect. For every restriction the West imposes, China finds a workaround that often makes it stronger. The result? Chinese companies now benefit from a rapid iteration cycle that Western firms can only dream of.

In Shenzhen, a drone designer can walk down to a manufacturing facility, hand over blueprints, and have a working prototype within a week. This process takes months in America or Europe.

When you launch a new product in China, there’s guaranteed demand from your supply chain partners. This makes companies far more willing to take risks on innovative ideas.

We discussed China climbing the “tech tree” last month. The ability of factories to easily switch from producing phone parts to drones to battery-powered cars gives China a massive advantage.

America’s largest drone maker, Skydio, has made 50,000 drones in its lifetime. China’s top drone company DJI likely pumps out that many every week.

This is how export restrictions designed to hurt China have backfired. “If you build a 10 ft. wall, I’ll just build an 11 ft. ladder” is China’s attitude.

Drones and robotaxis are part of everyday life.

People routinely get lunch and parcels delivered by drone. It’s completely normal.

In cities like Beijing and Wuhan, robotaxis are everywhere. They’re already operating at “Level 4” autonomy and handle most of the driving without human intervention.

Don’t sleep on Xiaomi.

Most folks know Xiaomi as the company that makes cheap android phones. True. It’s also churning out some of the most impressive EVs in the world.

Why did Xiaomi get into the car business, which is famously low margin and ruthless?

As I mentioned, one of China’s big advantages is the ability to rapidly iterate. And when it comes to things like batteries (the key part of phones, drones, and cars), the more you make, the better they get. Xiaomi’s real goal was to build out a whole new supply chain and support it with car sales.

Xiaomi released its first car less than a year ago. In its first year, it had higher margins than both **General Motors (GM)** and **Ford (F)**. Its top-end EVs cost 60% less than a car from **Rivian Automotive (RIVN)**.

The Xiaomi SU7 Ultra accelerates from 0–60 mph in under 2 seconds—supercar territory—for just $70,000. For comparison, a similar-performing Porsche costs well over $200,000.

Does this look like a cheap Chinese knockoff to you?

Source: Xiaomi SU7 Wikipedia page

<u>China's weak link.</u>

One area where China still lags is cutting-edge semiconductor manufacturing. It remains several years behind Taiwan and the US, and export controls will likely maintain that gap.

Building a Nvidia competitor might be possible. But when you're locked out of the global chip supply chain and must build your own Nvidia, Taiwan Semiconductor, and **ASML Holding (ASML)** simultaneously, it's virtually impossible.

Most Chinese firms are still trying to buy as many Nvidia chips as they can. However, for legacy chips that are a few years old, China is fast becoming the world leader.

<u>China is racing ahead of AI adoption.</u>

My friend Matt Ridley often talks about the difference between invention and innovation. He wrote a whole book on it called, "How Innovation Works."

Invention is just the starting point. Technology changes the world by being *integrated* into products and services for everyday use. The work of integration is unglamorous, nontrivial, and utterly essential for realizing the benefits of innovation.

What makes China's technology revolution truly formidable isn't just invention—it's implementation.

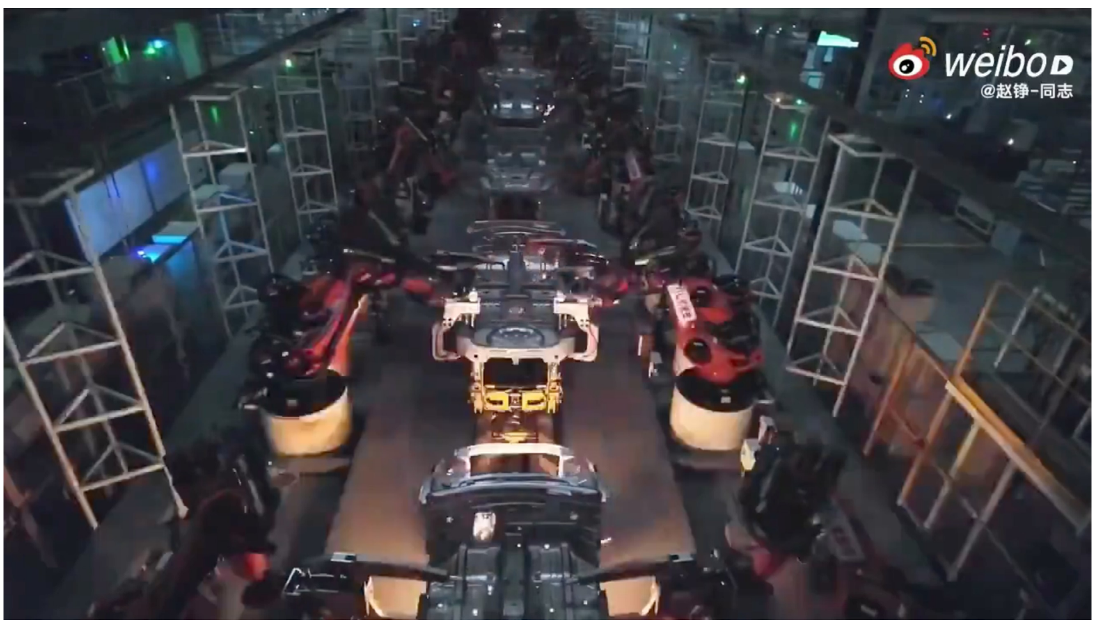
America leads on AI invention. But when it comes to getting this technology in the hands of hundreds of millions of people, China is racing ahead.

More than 20 Chinese EV companies have already embedded DeepSeek's AI model into their cars. All five major Chinese smartphone makers have integrated DeepSeek's AI into their devices. We have DeepSeek-enhanced air conditioners. Local governments are even integrating AI models into mobile applications to answer residents' questions.

"Dark factories."

China now has fully automated facilities that operate without human workers or traditional lighting. Inside these factories, machines handle every task.

Without workers, there's no need for lighting or heating, which allows China to make stuff better… faster… and cheaper. Here's what it looks like inside a "dark factory:"



Source: Digivation Network TV on YouTube

China's Starlink?

In late January, China launched a rocket the size of a 15-story building into orbit. It was carrying a batch of 18 satellites for its version of Starlink, aka "space internet."

What's the next DeepSeek?

The next tech release out of China that really shocks people will likely be humanoid robots.

Watch robotics startups like Unitree and Siasun, which are developing remarkably capable robots at a fraction of Western prices. They're demonstrating hand skills and dexterity that rival human abilities, particularly in precision-manufacturing environments.

Two tech ecosystems?

The world is splitting into two distinct technology ecosystems: one Western-led, the other Chinese-led. Smart investors need exposure to both.

The old narrative of "China is a copycat" is giving way to "China is an innovator." When perception catches up with reality, the valuation gap between Chinese and Western technology companies will close rapidly.

Chinese stocks are about to go from "uninvestable" to "unmissable."

The FXI ETF gives you a basket of China's largest companies at valuations roughly half those of equivalent US firms. FXI is up 20% year to date, but it still trades at just 13X earnings compared to 26X for the S&P 500.

More China insights next month!

Our gameplan

While others are still clinging to yesterday's winners, we're already positioning for tomorrow's champions.

Along with buying a slug of China (the FXI ETF), here are three moves you can make to stay ahead in this market:

#1: Buy into unloved megatrends.

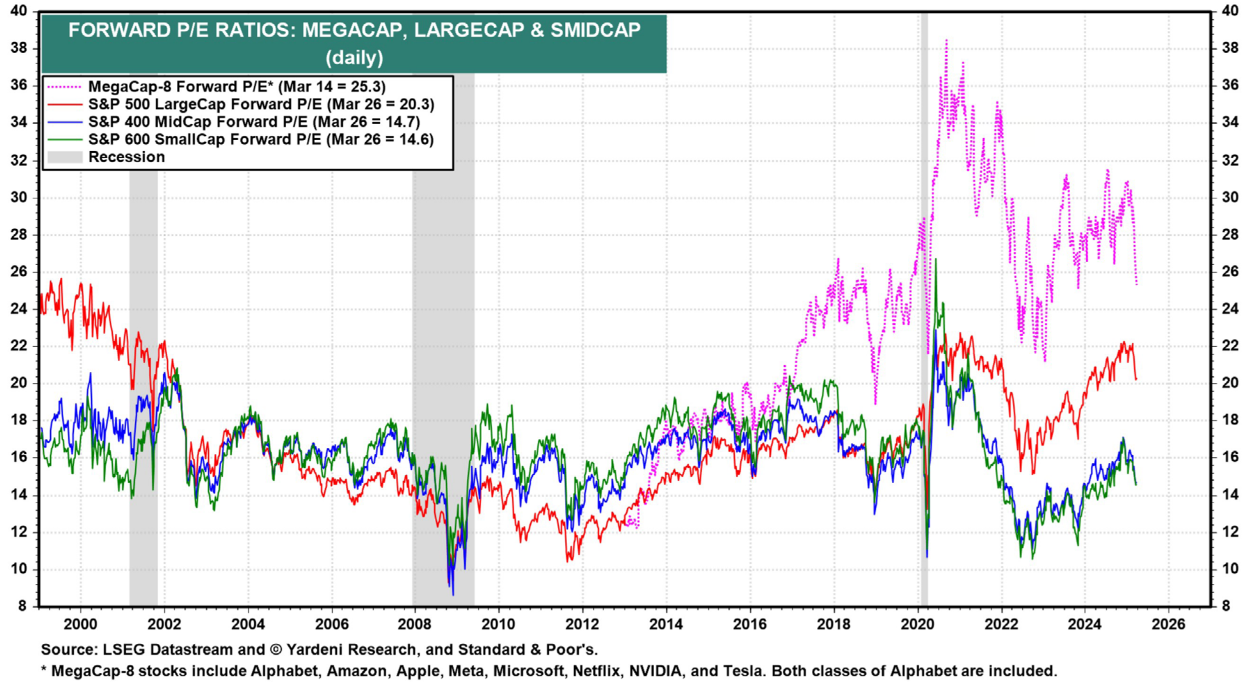
Our edge has always been owning great, disruptive businesses in long-term megatrends. Companies solving real problems and generating strong profits march forward regardless of market conditions. Luckily, quality disruptors come in all shapes and sizes.

It's time to focus on under-the-radar megatrends soon to become market darlings. Cybersecurity, solar, and space fit the bill. Chris has more on this opportunity below.

#2: Small is beautiful (and cheap).

Falling valuations for big tech stocks are dragging markets down. But not every corner of the market was infected with valuation fever.

Look at the price-to-earnings ratios by stock size. You can see mid- and small-cap stocks (market caps between $300 million and $10 billion, and the blue and green lines in the chart below) are below their historic valuations:



Source: Yardeni Research

The Russell 2000 small-cap Index hasn't made a new high since November 2021. *"Why waste time digging into some little-known company when I can just buy Apple?"* It worked beautifully, until it didn't.

After a three-year bear market, smaller US companies with strong fundamentals are ripe with opportunity.

#3: Hold insurance.

Last August, we hedged our portfolio with cheap stock market insurance. That's worked beautifully, with our protective puts up 21% so far while the market stumbled.

Remember, investing isn't just about making money—it's about keeping it, too. There are plenty of "one-hit wonder" investors who strike it big during a stock market rally, only to give it all back on the other side.

Continue to hold these puts. They're your financial airbags during a potentially turbulent time.

Bottom line: Markets are approaching an inflection point. Money is flowing out of the Mag 7, and new leaders are emerging. This is a gift for investors with their finger on the market's pulse and the courage to look beyond yesterday's winners. Those clinging to what worked in the past risk being left behind.

Solar is the perfect "counterintuitive" trade

Successful investing sometimes means doing the opposite of what seems to make sense.

Let me explain…

If I (Chris) asked you to guess how oil & gas stocks performed under the past three US presidents, what would you say?

What about the performance of solar stocks under these presidents?

Most folks would assume that because of Democrats' disdain for fossil fuels—and love for green energy—oil & gas stocks performed poorly under Obama and Biden, and solar stocks performed well. And that because of Republicans' stance on these energy sources, oil & gas stocks performed well under Trump, while solar stocks slumped.

But the exact opposite happened.

During Obama's eight years as president, the largest oil & gas ETF—the **Energy Select Sector SPDR Fund (XLE)**—gained 99%. During Biden's four years in office, it gained 151%. But under Trump 1.0, XLE lost 29%… and it was under water even before the COVID lockdown-related oil crash of 2020.

Meanwhile, the largest solar ETF—the **Invesco Solar ETF (TAN)**—lost 67% under Obama and 70% under Biden. But under Trump 1.0, TAN soared 563%.

We see this kind of thing happen when there's a particularly wide gap between investor expectations and the reality that plays out. And that often occurs with politically sensitive stocks, like those in the energy sector.

When it comes to solar, for example, investors expected a dismal business environment under Trump. They thought a more friendly environment for oil & gas companies would drive down costs and make solar less competitive. They also feared Trump would get rid of federal incentives like green energy tax credits, which would weigh further on solar stocks.

But that's not what happened. The reality that played out was much more friendly to the solar industry than investors expected, which allowed the best solar companies to beat the pants off expectations and led to soaring solar stock prices.

I think that’s how things are going to play out for solar stocks again over the next four years. So although it may seem counterintuitive, it makes sense to get positioned in solar today while it’s still off investors’ radars in order to take full advantage of the turnaround we see coming.

That’s not the only reason I’m bullish about solar these days. There’s a lot more to the story to get excited about.

Before getting into all that, **I just want to reiterate that the TAN solar ETF soared nearly 600% under Trump 1.0**. That’s an enormous move for any sector ETF in such a short timeframe.

Now, on with the solar story…

The sun beams more energy down to Earth every hour than we humans use in a whole year.

Harnessing as much of that unlimited free energy as we can is a no-brainer. But only if we can do it cost-effectively. And until recently, we couldn’t.

Bell Labs created the first practical solar cell to turn sunlight into electricity back in 1954.

Today, solar generates about 7% of the world’s electricity. That’s respectable—and a huge increase from about 0.3% in 2010—but it’s still not a lot. And that’s because, for most of the last 70 years, the cost of solar has been too high.

But solar costs have plummeted more than 90% since 2010.

Today, new installations of utility-scale solar are extremely competitive—based on the levelized cost of electricity (LCOE).

Utility-scale solar refers to large solar projects that produce electricity for utilities and independent power producers. Those companies then distribute the power to end users like you and me.

The LCOE is a convenient metric to compare competing electricity-generating technologies in an apples-to-apples way. It includes the costs of building and operating power plants, capital costs (like buying solar panels), fuel costs, operating and maintenance costs, and financing costs.

When you include battery energy storage costs to deal with the intermittency issue—the sun’s not always out and shining, after all—solar is still extremely competitive.

Utility-scale solar-plus storage projects in the US have an LCOE range of about $60 to $210 per megawatt-hour (MWh), with a midpoint of about $135/MWh. It’s a wide range because resources and project configurations can vary significantly in different regions across the country.

For comparison, here's the approximate LCOE midpoint for new builds of some other electricity-generating technologies:

- Natural gas (combined cycle): $76/MWh
- Natural gas (peaking): $170/MWh
- Coal: $120/MWh
- Nuclear: $182/MWh
- Wind (offshore): $130/MWh
- Wind (onshore): $50/MWh

So solar is between coal and nuclear and right in line with offshore wind.

Federal incentives like the 30% investment tax credit under current law can reduce the LCOE for utility-scale solar-plus storage projects to about $38 to $171 per MWh, with a midpoint of about $105/MWh. That makes it cheaper than new builds of coal.

As costs have plummeted, solar's growth has exploded.

Total solar capacity in the US has increased more than 1,400% in the past decade, from about 16 gigawatts (GW) to 239 GW. For context, 1 GW is enough to power about 800,000 American homes.

Meanwhile, utility-scale solar in the US had its best year ever in 2024. The market added about 30 GW of capacity and grew at a blistering annual rate north of 62% to reach about 110 GW by the end of last year.

These utility-scale solar installations accounted for about 60% of all new electricity-generating capacity additions in the US last year.

And things aren't slowing down.

Experts at global consulting firm Wood Mackenzie forecast US utility-scale solar capacity to reach about 4X what it is today over the next 10 years.

Worldwide, they expect about 3,000 GW of utility-scale solar installations over the same period.

Bottom line: Solar is an unstoppable megatrend. Regardless of who's in the White House, solar will continue to grow fast in the US and throughout the world. The counterintuitive bullish setup we have for solar stocks with the new administration simply adds to the story.

Here's how we'll profit

Now's a great time to add **Nextracker (NXT)** to the Disruptor 20.

You may remember Nextracker. We first recommended it to *Disruption Investor* members in September 2023, about seven months after it spun out of **Flex Ltd. (FLEX)** and went public.

We stopped out of the stock about nine months after we bought in, as solar stocks tanked under Biden. But we were still able to book a solid 30% gain. I expect the gain to be much bigger this time around.

With a market share north of 30%, Nextracker is the global leader in smart solar tracker systems. Its patented innovations help turn sunlight into electricity more efficiently.

Let me explain…

Imagine you're designing a big solar project that involves setting up thousands of solar panels in a field.

Something like this:

Source: Nextracker

How would you position the panels to capture as much sunlight as possible?

For years, the solar industry relied on "fixed-tilt" systems that held solar panels in a fixed position.

Those fixed panels collect different amounts of solar energy throughout the day as the sun moves across the sky.

The tilt angle that collects the most sunlight at 9 am is different than the angle that collects the most sunlight at 4 pm.

So no matter how you position your solar panels, you're only maximizing solar energy collection during a small window of the day.

Today's utility-scale solar projects have evolved beyond fixed-tilt systems. They rely on solar-tracking technology to increase electricity generation.

In short: Solar-tracking technology lets you generate more electricity and make more money from solar energy. It does this by following the sun across the sky and positioning solar panels at the optimal angle to collect as much sunlight as possible.

And Nextracker has the best solar-tracking technology.

Typical solar-tracker systems rely on "linked-row" architecture. That means many rows of solar panels link together, and a single large motor moves all the rows simultaneously.

But if the motor goes out, none of the connected panels can track the sun.

Nextracker's flagship product features independent rows. Low-cost motors allow each individual row of solar panels to move independently. This allows the system to collect as much sunlight as possible. It also gets rid of the "single point of failure" problem. If one of your motors goes out, only that row is affected.

Each row in a Nextracker solar-tracker system is mechanically balanced with patented technology. This allows for a greater range of motion and reduces the amount of energy needed to move the panels. It also reduces wear and tear on the system.

Meanwhile, conventional solar trackers fall even further behind as utility-scale solar expands into regions with uneven terrain or rolling hills. That's because these systems must be set up in a straight line to work properly.

So most of these systems require longer foundation piles… extensive grading… or a combination of both to work in an area with hilly terrain. This adds significant costs and time to the project.

Nextracker's technology solves those problems with its terrain-following capability. It conforms to hilly terrain and keeps construction costs in check.

The system's been shown to cut grading requirements by 30% to 90%. It significantly reduces the amount of earth you need to move and lets you use a lot less steel.

Nextracker's smart software control system further enhances the appeal of its solutions. It combines advanced sensors, weather forecasting, and AI to maximize yield for new and existing solar power plants. It allows solar plants to harvest even more energy by enabling each individual tracker row to compensate for geographic features, terrain, and changing weather in real time.

See, with conventional trackers, differences in height from one row to the next can cause shading that hinders performance. Cloudy conditions also hurt performance because panel angles that were correct under other conditions don't harvest as much solar energy when light is scattered.

Nextracker's proprietary smart panel sensors provide real-time shading information for each tracker row.

The system's AI integrates this data with the latest meteorological forecast data and sends out updated tracking commands to every row. So each row can avoid shading and maximize output. This boosts energy production.

When clouds roll in, the system knows how to reposition each tracker to harvest additional energy, which would have been lost with other trackers.

Nextracker's Real Cash Flow

In the past year, Nextracker generated revenue of $2.8 billion, net income of $582.6 million (or $4.05 per share), and Real Cash Flow of $424.5 million (or $2.95 per share).

NXT is now trading at almost the exact same price as when we first bought it in 2023. But the company generated about $800 million more in revenue over the past year, with the same robust annual growth rate just north of 20%, much higher margins, and about $180 million more in Real Cash Flow over the prior year.

In other words, Nextracker is much more profitable and a lot cheaper in valuation terms than the last time we invested in it.

The stock is trading at just 10.5X earnings and 14.4X Real Cash Flow. That's dirt cheap when you factor in expected growth.

Meanwhile, I think solar stocks in general are close to putting in a bottom—unless we see substantial legislative moves in the near term focused on repealing solar tax credits from the Inflation Reduction Act (IRA).

While the IRA has nothing to do with reducing inflation, it does provide benefits for clean-energy components manufactured in the US. And Nextracker shares the benefits of those credits with its suppliers.

So if solar tax credits are repealed, solar stocks in general will take a hit—as will Nextracker's financial results.

That's a risk, but I don't see it happening because a growing number of Republicans are urging the party to preserve the tax credits. At this point, 21 House Republicans are warning they'll oppose the party's budget bill if the credits are axed because their districts have benefited substantially from the incentives.

And a letter they recently shared with the media said developing clean energy was critical for the US to meet the administration's goal of becoming "energy dominant."

Action to take: Buy Nextracker (NXT) at current market prices and set a 25% hard stop.

Several of our holdings will report earnings before the next *Disruption Investor* publishes on May 1. Here's a rundown on the upcoming earnings releases:

- **Taiwan Semiconductor (TSM)**: April 17
- **Tesla (TSLA)**: April 17
- **Rockwell Automation (ROK)**: April 25
- **Vertiv Holdings (VRT)**: April 25
- **Fabrinet (FN)**: April 28
- **Arista Networks (ANET)**: May 1

Please note the dates listed above are subject to change.

For the most up-to-date guidance on our current positions, click here to view the portfolio online.

Chris Wood Stephen McBride

Chris Wood and Stephen McBride